Micron Technology, Inc.

MU NASDAQ

Buy	$811.65 ▼ 1.38%	12M Price Target **$950.00**	52-Week Range $105.46 – $1255.00	Market Cap N/A

MU: China Fears Overshadow AI Memory Boom

WHAT HAPPENED

- Memory stocks got whacked across the board — Seagate and WD down 6%, SK Hynix and MU off ~5% earlier before MU stabilized at -1.4%. The trigger: fresh fears that Chinese memory makers (CXMT, YMTC) are ramping production faster than expected, which could pressure DRAM/NAND pricing.
- Weirdly bullish undertone though — options flow is screaming BULLISH with a 0.53 put/call ratio and MASSIVE unusual call buying at $790-800 strikes (some 68x normal open interest). Somebody big is betting this dip gets bought.

WHY IT MATTERS

Here's the disconnect worth thinking about: the news is scary (China competition), but the smart money is loading up on calls at current levels — that tells me institutions view this selloff as noise, not a thesis-breaker. Why? Because MU's crown jewel is HBM (High Bandwidth Memory — the specialized chips that go into Nvidia AI GPUs), and China is years behind on HBM. The 85% gross margin headline from 24/7 Wall St. isn't a typo on a specific product line — that's the AI-memory premium, and China can't touch it yet. The real read-through: commodity DRAM might get pressured, but the AI-memory mix shift is what's actually driving earnings, and that's structurally protected by US export controls.

POLICY & POLITICAL WATCH

The Trump administration's expanded chip export controls to China are actively BLOCKING Chinese memory makers from buying the advanced lithography tools they'd need to catch up on HBM — so today's "China competition" fears are somewhat overblown at the high end. Watch two things: (1) CHIPS Act disbursements — MU is getting ~$6.1B in federal grants for their Idaho and NY fabs, and any Trump-era clawback attempts would be a headwind, though so far the administration has kept semiconductor subsidies intact as a national security priority. (2) The Iran situation Trump moved on today is pushing oil stocks down but reinforces the broader "reshoring critical tech" narrative that benefits MU.

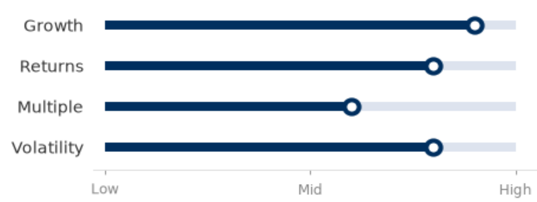
IS IT EXPENSIVE?

At ~$812, MU trades around 57x forward earnings on FY26 estimates — sounds expensive, but you're paying for FY27 where EPS could jump to ~$19-20, which drops the multiple to ~40x. Compare that to Nvidia at similar forward multiples with arguably less pricing power leverage. Bottom line: not cheap on today's numbers, but if HBM demand keeps accelerating and gross margins stay north of 50%+ overall, the earnings ramp makes today's price look reasonable in 18 months.

WHAT COULD GO WRONG

Key Data	
Price (USD)	$811.65
12M Price Target	$950.00
Upside / (Downside)	+17.0%
Market Cap	N/A
FY2026E Revenue	$48,500M
FY2027E Revenue	$62,000M
FY2026E EPS	$14.20
FY2027E EPS	$19.50
Fwd P/E	57.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

AI-Generated Pre-Market Brief | 2026-08-03 15:31 UTC

MU — Micron Technology, Inc. | August 03, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$900.00**	$830.00	**$720.00**
6 Months	**$1100.00**	$950.00	**$700.00**
1 Year	**$1300.00**	$1050.00	**$650.00**
2 Years	**$1600.00**	$1200.00	**$600.00**
5 Years	**$2200.00**	$1500.00	**$500.00**
10 Years	**$3500.00**	$2000.00	**$400.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+2.72%) and Consumer Discretionary (+1.82%) — money is chasing the Microsoft-led mega-cap tech rally and consumer reopening themes. Tech overall still positive (+0.94%) despite memory weakness.

COOLING OFF: Oil/energy on Trump's Iran move (creating supply uncertainty in the wrong direction), and memory/storage subsector specifically — this is a rotation WITHIN tech, not out of it.

ROTATION WATCH: Money is rotating from memory into software/hyperscalers today (Microsoft surge). That's actually a leading indicator — if hyperscalers are ripping, their capex budgets stay big, which means memory demand stays strong. This selloff is likely temporary.

RELATED PLAY: If you believe the AI memory thesis but want to hedge single-stock risk, look at Lam Research (LRCX) or Applied Materials (AMAT) — they sell the equipment MU and SK Hynix need to make HBM, and they benefit whether MU or Samsung wins.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Surging today on cloud/AI momentum — reinforces hyperscaler capex thesis that indirectly supports MU.
- NVDA (Nvidia): Continued strength — MU is essentially a leveraged bet on Nvidia's success since HBM goes straight into Nvidia GPUs.

MU CONTEXT: MU is LAGGING its AI-adjacent peers today because it got lumped in with commodity memory names (WDC, STX) on the China news. That's a mispricing — MU's HBM exposure makes it more like NVDA than WDC. When the market figures this out, MU catches up.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: $740-780 on China-fear pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: HBM market share loss to Samsung/SK Hynix or DRAM pricing collapse >20%

Hedging: Small put spread or pair-trade long MU / short SOXX to isolate the alpha